

UNAUDITED CONSOLIDATED RESULTS FOR THE HALF YEAR ENDED 30TH JUNE 2017

THE BOARD OF DIRECTORS OF JUBILEE HOLDINGS LIMITED IS PLEASED TO ANNOUNCE THE FOLLOWING UNAUDITED CONSOLIDATED RESULTS FOR THE HALF YEAR ENDED 30TH JUNE 2017

Summary Unaudited Consolidated Statement of Profit or Loss and Other Comprehensive Income			
	June-17 Kshs '000	June-16 Kshs '000	Growth %
Gross written premium and Contributions	18,602,358	17,183,955	8.2%
Gross earned premiums	15,600,726	13,624,931	
Outward reinsurance	(5,408,010)	(5,269,488)	
Net insurance premium revenue	10,192,716	8,355,443	
Other revenue	4,693,797	3,086,947	
Total income	14,886,513	11,442,390	30.1%
Net insurance benefits and claims	(10,381,180)	(7,484,883)	
Total expenses and commission	(2,744,150)	(2,586,500)	
Result of operating activities	1,761,183	1,371,007	
Share of results of associates	578,772	601,767	
Group profit before tax	2,339,955	1,972,774	18.6%
Taxation	(463,797)	(394,039)	
Net profit	1,876,158	1,578,735	18.9%
Other comprehensive income for the year	303,428	(354,689)	
Total comprehensive income	2,179,586	1,224,046	
Earnings per share (Kshs)	26.05	21.15	23.2%

Summary Unaudited Consolidated Statement of Financial Position			
	June-17 Kshs '000	December-16 Kshs '000	Growth %
Share capital	329,423	329,423	
Other reserves	3,921,351	2,769,487	
Retained earnings	17,968,598	16,352,839	
Proposed dividends	72,473	494,133	
Non controlling interest	1,677,206	1,475,787	
Total equity	23,969,051	21,421,669	11.9%
Represented by:			
Assets			
Fixed assets	361,055	381,079	
Government securities	43,236,596	39,551,846	
Investment assets	27,408,460	25,316,486	
Insurance assets	17,857,582	15,446,717	
Other assets	2,372,140	1,544,766	
Cash and cash equivalents	9,872,579	8,326,849	
Total assets	101,108,412	90,567,743	11.6%
Liabilities			
Insurance liabilities	35,612,420	30,619,136	
Deposit administration	38,034,072	35,988,354	
Other liabilities	3,492,869	2,538,584	
Total liabilities	77,139,361	69,146,074	11.6%
Net assets	23,969,051	21,421,669	11.9%

The Directors recommended the payment of an interim dividend of 20% or Kshs. 1 per share (2016: 20% or Kshs. 1.00 per share), subject to withholding tax where applicable. The dividend will be paid on or about 6th October 2017 to members on the register at the close of business on 15th September 2017. To facilitate payment of the dividend, the register of members will be closed from 18th September 2017 to 2nd October 2017, both days inclusive.

Change of Auditors: As informed to the shareholders at the Annual General Meeting held on 22nd May 2017, the Board has been reviewing auditor rotation in line with the CMA Code on Corporate Governance. Based on this, the auditor selection process has been finalised. KPMG, who have already served 6 years in office have retired by rotation and the Board has appointed PricewaterhouseCoopers (PwC) as the new auditors subject to confirmation at the next Annual General Meeting of the members. The Board wishes to thank KPMG for their services to the Company and takes this opportunity to welcome PwC as external auditors.

By Order of the Board

Nizer Juma
Chairman
28th August 2017

Margaret Muhuni - Kipchumba
Company Secretary

Profit before Tax Kshs. 2.34 billion up by 19%	Total assets Kshs. 101.11 billion up by 12%
Total income Kshs. 14.89 billion up by 30%	Long term business up by 26%

Summary Unaudited Consolidated Statement of Changes in Equity				
	Share Capital	Retained Earnings	Other	Total Equity
	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Six months ended 30 June 2017				
At start of period	329,423	16,352,839	4,739,407	21,421,669
Profit for the six months	-	1,716,094	160,064	1,876,158
Transfer (to)/from reserves	-	(27,862)	1,193,219	1,165,357
Net dividend	-	(72,473)	(421,660)	(494,133)
At end of six months	329,423	17,968,598	5,671,030	23,969,051

Summary Unaudited Consolidated Statement of Cash flows		
	June-17 Kshs '000	December-16 Kshs '000
Cash flows generated from operating activities	2,505,006	1,674,592
Cash flows used in investing activities	(594,407)	(3,364,668)
Cash flows used in financing activities	(494,133)	(560,018)
Increase in cash and cash equivalents	1,416,466	(2,250,094)
Cash and cash equivalents at start of year	8,326,849	10,890,580
Exchange gain/(loss) on translation of cash and cash equivalents in foreign currencies	129,264	(313,637)
Cash and cash equivalents at end of year	9,872,579	8,326,849



JUBILEE INSURANCE: WINNING 35 AWARDS IN 2016 - 2017 IN THE REGION!

WISDOM OF AGE
PASSION OF YOUTH
JUBILEE INSURANCE: SINCE 1937

Live Free!

TANZANIA
LEADERSHIP AWARDS 2017
Insurance Company of the Year Award
Winner



KENYA
THINK BUSINESS INSURANCE AWARDS 2017
Medical Underwriter of the year - J-Care
Winner



UGANDA
NATIONAL SOCIAL SECURITY
FUND 2016
Silver Category
Winner



BURUNDI
REVENUE AUTHORITY AWARD 2016
Excellence Award for Medium
Enterprises
Winner



JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Profit or Loss and Other Comprehensive Income			
For the six months ended 30th June 2017:			
	Jun-17	Jun-16	Dec-16
	Kshs'000	Kshs'000	Kshs'000
			Audited
Gross earned premium	15,600,726	13,624,931	26,907,645
Reinsurance	(5,408,010)	(5,269,488)	(9,326,416)
Net earned premium	10,192,716	8,355,443	17,581,229
Claims and policy holder's benefits payable	(10,381,180)	(7,484,883)	(13,965,531)
Commission paid	(1,736,179)	(1,670,716)	(3,385,541)
Commission earned	1,068,387	995,823	2,034,115
Management expenses	(2,076,358)	(1,911,607)	(4,220,837)
Net fair value gain through profit or loss	1,297,633	(364,908)	(1,612,126)
Investment Income	3,396,164	3,451,855	6,700,644
Operating profit	1,761,183	1,371,007	3,131,953
Share of results of associates	578,772	601,767	1,430,752
Group profit before income tax	2,339,955	1,972,774	4,562,705
Income tax expense	(463,797)	(394,039)	(886,758)
Net profit	1,876,158	1,578,735	3,675,947
Non-controlling interest	160,063	185,452	379,322
Profit attributable to shareholders	1,716,095	1,393,283	3,296,625
Other Comprehensive Income			
Change in fair value of financial assets at fair value through other comprehensive income	131,989	(146,765)	(383,121)
Net translation gain	170,890	(214,682)	(497,679)
Associate share of other comprehensive income	-	-	(52,888)
Deferred income tax relating to other comprehensive income	549	6,758	7,604
Total other comprehensive income	303,428	(354,689)	(926,084)
Total comprehensive income	2,179,586	1,224,046	2,749,863
Non-controlling interest	201,417	174,845	192,621
Profit attributable to shareholders	1,978,169	1,049,201	2,557,242
Earnings per share (Kshs)-basic and diluted	26.05	21.15	50.04
Dividends:			
Dividend proposed	72,473	65,885	494,133

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Financial Position as at 30th June 2017:			
	Jun-17 Kshs'000	Jun-16 Kshs'000	Dec-16 Kshs'000 Audited
CAPITAL AND RESERVES			
Share capital	329,423	329,423	329,423
Fair value reserves	237,266	390,846	104,458
General reserves	70,000	70,000	70,000
Contingency reserves	991,904	905,031	964,042
Translation reserves	(424,822)	(446,889)	(554,086)
Statutory Reserve	3,047,003	3,444,794	2,185,073
Retained earnings	17,968,598	15,010,969	16,352,839
Proposed dividends	72,473	65,885	494,133
Equity attributable to owners of the company	22,291,845	19,770,059	19,945,882
Non-controlling interest	1,677,206	1,458,011	1,475,787
Total equity	23,969,051	21,228,070	21,421,669
ASSETS			
Intangible asset	144,289	33,856	163,425
Property and equipment	216,766	201,945	217,654
Investment properties	6,047,348	5,578,170	6,011,881
Investment in associates	9,843,687	9,251,838	9,263,205
Deferred income tax asset	238,761	127,876	179,687
Unquoted equity investments at fair value through profit or loss	2,772,007	2,673,009	2,805,049
Unquoted equity investments at fair value through other comprehensive income	104,707	101,207	104,875
Quoted equity investments at fair value through profit or loss	5,950,869	6,060,304	4,644,331
Quoted equity investments at fair value through other comprehensive income	1,149,486	1,227,996	983,598
Mortgage loans	109,100	74,924	79,869
Loans on life insurance policies	738,374	631,364	716,367
Government securities at amortized cost	43,236,596	33,481,145	39,666,112
Commercial bonds	1,431,256	1,641,559	1,423,678
Receivables arising out of direct insurance arrangements	5,915,317	5,768,962	4,810,755
Receivables arising out of reinsurance arrangements	2,301,075	2,169,360	2,805,793
Reinsurers' share of insurance contract liabilities	8,423,335	7,063,207	6,891,960
Deferred acquisition costs	479,481	595,421	221,842
Other receivables	1,842,592	1,168,648	1,241,065
Current income tax recoverable	290,787	162,647	124,014
Deposits with financial institutions	8,622,680	8,822,735	7,247,623
Cash and bank balances	1,249,899	731,279	964,960
Total assets	101,108,412	87,567,452	90,567,743
LIABILITIES			
Deferred income tax liability	84,548	122,206	163,189
Insurance contract liabilities	23,396,742	18,715,702	20,281,061
Payable under deposit administration contracts	38,034,072	33,152,501	35,988,354
Unearned premium reserve	9,989,983	9,722,789	8,708,799
Creditors arising out of direct insurance arrangements	412,970	55,332	293,024
Creditors arising out of reinsurance arrangements	1,812,725	1,258,394	1,336,252
Other payables	2,423,877	2,484,552	1,910,747
Dividends payable	790,981	756,134	325,515
Current income tax payable	193,463	71,772	139,133
Total liabilities	77,139,361	66,339,382	69,146,074
Net assets	23,969,051	21,228,070	21,421,669

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Changes in Equity for the six months ended 30th June 2017:

	Share Capital Kshs'000	Fair Value Reserves Kshs'000	General Reserves Kshs'000	Translation Reserves Kshs'000	Contingency Reserves Kshs'000	Statutory Reserves Kshs'000	Retained Earnings Kshs'000	Proposed Dividends Kshs'000	Equity Attributable to Owners Kshs'000	Non-Controlling Interest Kshs'000	Total Equity Kshs'000
Six months ended 30 June 2017											
At start of year (01/01/2017)	329,423	104,458	70,000	(554,086)	964,042	2,185,073	16,352,839	494,133	19,945,882	1,475,787	21,421,669
Profit for the period	-	-	-	-	-	-	1,716,094	-	1,716,094	160,064	1,876,158
Other comprehensive Income											
Change in fair value of FVTOCI	-	132,376	-	-	-	-	-	-	132,376	(388)	131,988
Net translation gain	-	-	-	129,264	-	-	-	-	129,264	41,626	170,890
Deferred income tax relating OCI	-	432	-	-	-	-	-	-	432	117	549
Transfer to contingency reserves	-	-	-	-	27,862	-	(27,862)	-	-	-	-
Total comprehensive income for the period	-	132,808	-	129,264	27,862	-	(27,862)	-	262,072	41,355	303,427
Transactions with owners:											
Dividends: - Final for 2016 paid	-	-	-	-	-	-	-	(494,133)	(494,133)	-	(494,133)
Interim for 2017 paid	-	-	-	-	-	-	(72,473)	72,473	-	-	-
Total transactions with owners:	-	-	-	-	-	-	(72,473)	(421,660)	(494,133)	-	(494,133)
Transfer from life fund	-	-	-	-	-	861,930	-	-	861,930	-	861,930
At end of the period	329,423	237,266	70,000	(424,822)	991,904	3,047,003	17,968,598	72,473	22,291,845	1,677,206	23,969,051
Six months ended 30 June 2016											
At start of year (01/01/2016)	329,423	528,488	70,000	(240,449)	829,413	3,327,844	13,759,189	494,133	19,098,041	1,283,166	20,381,207
Profit for the period	-	-	-	-	-	-	1,393,283	-	1,393,283	185,452	1,578,735
Other comprehensive Income											
Change in fair value of FVTOCI	-	(143,386)	-	-	-	-	-	-	(143,386)	(3,379)	(146,765)
Net translation gain	-	-	-	(206,440)	-	-	-	-	(206,440)	(8,242)	(214,682)
Deferred income tax relating OCI	-	5,744	-	-	-	-	-	-	5,744	1,014	6,758
Transfer to contingency reserves	-	-	-	-	75,618	-	(75,618)	-	-	-	-
Total comprehensive income for the period	-	(137,642)	-	(206,440)	75,618	-	(75,618)	-	(344,082)	(10,607)	(354,689)
Transactions with owners:											
Dividends: - Final for 2015 paid	-	-	-	-	-	-	-	(494,133)	(494,133)	-	(494,133)
Interim for 2016 paid	-	-	-	-	-	-	(65,885)	65,885	-	-	-
Total transactions with owners:	-	-	-	-	-	-	(65,885)	(428,248)	(494,133)	-	(494,133)
Transfer from life fund	-	-	-	-	-	116,950	-	-	116,950	-	116,950
At end of the period	329,423	390,846	70,000	(446,889)	905,031	3,444,794	15,010,969	65,885	19,770,059	1,458,011	21,228,070

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Unaudited Consolidated Statement of Cash Flows for the six months ended 30th June 2017:			
	Jun-17 Kshs'000	Jun-16 Kshs'000	Dec-15 Kshs'000 Audited
Cash flow from operating activities			
Profit before income tax	2,339,955	1,972,774	4,562,705
Adjustments for: -			
Depreciation and amortisation	107,984	81,907	125,572
Impairment of Insurance receivables	16,732	781	271,534
Fair value gains on equity investments at fair value through profit or loss	(1,297,633)	364,908	1,612,126
Change in deposit administration contracts	2,907,648	2,194,401	3,929,519
Change in insurance contract liabilities and reserves	4,396,865	1,968,667	2,478,002
Investment income	(3,396,164)	(3,451,855)	(6,700,644)
Share of result of associates after income tax	(578,772)	(601,767)	(1,430,752)
Operating profit before working capital changes	4,496,615	2,529,816	4,848,062
Change in premium, reinsurance and other receivables	(2,990,385)	(2,429,546)	(1,635,361)
Change in reinsurance and other payables	1,575,016	410,570	(334,193)
Cash generated from operations	3,081,246	510,840	2,878,508
Income tax paid	(576,240)	(591,552)	(1,203,916)
Net cash inflow/(outflow) from operating activities	2,505,006	(80,712)	1,674,592
Cash flow from investing activities			
Rent, interest and dividend received	3,212,012	3,259,473	6,031,368
Dividends received from associates	-	35,284	768,750
Proceeds from sale of quoted shares	-	460,730	158,279
Proceeds from disposal of property and equipment	2,138	1,644	1,655
Purchase of property and equipment	(90,099)	(28,933)	(219,285)
Additions of investment properties	(35,467)	(42,840)	(162,731)
Proceeds from disposal of investment properties	(2,917)	-	-
Purchase of quoted shares	(50,774)	(438,092)	(59,734)
Sale of unquoted shares	-	-	3,497
Net mortgage loans advanced	(29,231)	(7,400)	(13,133)
Net loans on life insurance policies advanced	(22,007)	(136,211)	(221,531)
Purchase of government securities	(3,570,484)	(3,876,447)	(10,086,901)
Redemption of commercial bonds	(7,578)	217,511	435,098
Net cash outflow from investing activities	(594,407)	(555,281)	(3,364,668)
Cash flow from financing activities			
Dividends paid	(494,133)	(494,133)	(560,018)
Net cash outflow from financing activities	(494,133)	(494,133)	(560,018)
(Decrease)/increase in cash and cash equivalents	1,416,466	(1,130,126)	(2,250,094)
Cash and cash equivalents at start of year	8,326,849	10,890,580	10,890,580
Exchange gain/(loss) on translation	129,264	(206,440)	(313,637)
Cash and cash equivalents at end of the period	9,872,579	9,554,014	8,326,849

JUBILEE HOLDINGS LIMITED
UNAUDITED CONSOLIDATED INTERIM FINANCIAL STATEMENTS

Notes to the Unaudited Consolidated Interim Financial Statements

1. General Information

Jubilee Holdings Limited is a limited liability company incorporated and domiciled in Kenya. The address of its registered office is: Jubilee Insurance House, Wabera Street, Nairobi, Kenya. The Company has a primary listing on the Nairobi Securities Exchange and is cross-listed on the Uganda Securities Exchange and Dar es Salaam Stock Exchange.

The Company through its subsidiaries and associates (together forming the Group) underwrites Life and non-life insurance risks, such as those associated with death, disability, health, property and liability. The Group also issues a diversified portfolio of investment contracts to provide its customers with asset management solutions for their savings and retirement needs. It has operations in Kenya, Uganda, Tanzania, Burundi and Mauritius.

2. Basis of Preparation

The measurement basis applied is the historical cost basis, except where accounting policies state otherwise. The financial statements are presented in Kenya Shillings (Kshs), rounded to the nearest thousand, unless otherwise indicated.

3. Earnings Per share

Earnings per ordinary share is calculated by dividing the net profit attributable to Shareholders by the number of shares outstanding at the end of the year.

	Jun-17	Jun-16
Net profit attributable to Shareholder (Kshs'000)	1,716,095	1,393,283
Number of ordinary shares in issue	65,884,500	65,884,500
Earnings per share (Kshs)-Basic and diluted	26.05	21.15

There were no potentially dilutive shares in issue on 30 June 2017 and 30 June 2016. Diluted earnings per share are therefore the same as basic earnings per share.

4. Dividend

The Directors recommended the payment of an interim dividend of 20% or Kshs 1.00 per share (2016: 20% or Kshs 1.00 per share), subject to withholding tax where applicable.